

Fourth Supplement to Confidential Private Placement Memorandum

EnCap Energy Capital Fund XII, L.P.

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December 13, 2023

The information set forth herein (the “**Supplement**”) supplements, modifies and amends the Confidential Private Placement Memorandum, dated February 28, 2023 (as amended, the “**Memorandum**”), of EnCap Energy Capital Fund XII, L.P. (the “**Partnership**”). Any statement contained in the Memorandum shall be deemed to be modified or superseded for all purposes to the extent that a statement contained herein modifies or supersedes such statement. This Supplement updates the Memorandum solely with respect to the information set forth herein and does not purport to provide a comprehensive update. All other information provided in the Memorandum is current as of the dates provided therein. Capitalized terms used but not defined in this Supplement are used as defined in the Memorandum.

In addition to the Memorandum and this Supplement, prospective investors should review the Partnership Agreement. Any prospective investor that has previously submitted a Subscription Agreement need not reconfirm its subscription.

I. PORTFOLIO COMPANY UPDATES

The following summaries describe two unrealized portfolio investments of the Partnership.

Black Swan Oil & Gas II *(Fund XII Investment)*

Company Description:

Black Swan Oil & Gas II (“**Black Swan II**”) is a privately held, Oklahoma City-based independent upstream company led by Ian Yingling (CEO), David LaLonde (CFO), Sean Nguyen (VP – Operations), Alex Hester (VP – Land & BD), and Andrew Clark Martin (Geology Manager). Black Swan II intends to focus its efforts on the Midland Basin where management can leverage its deep network of contacts, technical understanding of subsurface dynamics, and recent operational success in the basin. Management believes there are actionable consolidation opportunities as both public and private operators look to offload assets. Black Swan II will also remain opportunistic as it relates to other basins given management’s experience in multiple U.S. basins.

Transaction Summary:

Black Swan II was formed in October 2023 with a \$200.0 million total commitment, which includes \$194.0 million from Fund XII and \$6.0 million from management. The investment is structured in the form of common equity, with Fund XII receiving a proportionate share of distributions until an 8% IRR is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Investment Rationale:

- Opportunity to re-back young senior management members that are highly regarded within the industry with a proven ability to create value
- Strong technical and operational performance and knowledge base with diverse industry experience across multiple major resource plays
- Management and EnCap have similar approaches to business strategy and risk management
- EnCap controls the Board and approves all major decisions

Investment Performance:

- Black Swan I was formed in September 2017 with a \$250 million commitment (\$248.5 million from Fund XI and \$1.5 million from management) and was subsequently expanded to a \$550 million commitment (\$547.5 million from Fund XI and \$2.5 million from management). Black Swan aggregated ~20,800 net acres in Martin County, TX along with ~13,800 NRA and brought online 35 operated horizontal wells targeting six distinct horizons.
- On June 12, 2023, EnCap closed on the sale of Black Swan, Piedra III, Piedra IV, and PetroLegacy to Ovintiv (NYSE: OVV) for a total consideration of \$4.36 billion. Black Swan’s allocated value in the sale to OVV was \$1.84 billion (\$1.38 billion cash and \$0.46 billion in equity) on \$500 million of equity invested, including management. Black Swan retained ~10,600 NRAs across the position along with Black Knight Midstream, which includes 23 miles of oil gathering infrastructure, that the company continues to manage.
- Black Swan II has already identified several underdeveloped positions in the Midland Basin held by both private and public operators, and management is in discussions on both large producing acquisitions as well as smaller farm-in opportunities where the team can utilize its operating skill sets to drive value. Management will also be opportunistic as it relates to deals in other basins as the team has a diverse background of evaluation and operations throughout the Lower 48.

Ridge Runner Resources II, LLC
(Fund XII Investment)

Company Description:

Ridge Runner Resources II (“**Ridge Runner**”) is a privately held, Houston-based independent upstream company led by Scott Germann (Co-CEO) and Brian Cassens (Co-CEO), as well as Aaron Gaydosik (CFO), Brad Grandstaff (COO), Randy Ferrell (VP – Production), Chris Canon (VP – Land), Jon Slagle (Manager – Reservoir Engineering), and Brian Atwell (Manager – Geology). Ridge Runner intends to focus its efforts on the Delaware Basin where management can leverage its deep network of contacts, technical understanding, and recent operational success as it employs an acquire, exploit, and optimization strategy on undervalued liquids-rich assets.

Transaction Summary:

Ridge Runner was formed in August 2023 with a \$150.0 million commitment, which includes \$146.3 million from Fund XII and \$3.8 million from management. The investment is structured in the form of common equity, with Fund XII receiving 97.5% of distributed cash until an 8% IRR and 1.25x ROI is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Investment Rationale:

- Management team has previous experience running its own private company in the Delaware Basin
- EnCap worked directly with management on a consulting project, providing additional comfort with the team
- Experienced and energetic senior management members that are highly regarded by some of the industry’s most successful entrepreneurs and executives
- Multi-disciplinary team with strong technical expertise that has the potential to be long-term partners with EnCap
- EnCap controls the Board and will approve all major decisions

Investment Performance:

- All the core management members were responsible for the ultimate success of Chisholm Energy (a Warburg Pincus portfolio company), including Scott Germann (as CEO), Brian Cassens (as COO), Aaron Gaydosik, (as CFO), Brad Grandstaff (as VP- Operations), Randy Ferrell (as VP – Production), and Jon Slagle (as Sr. Reservoir Engineer). Scott, Brian, Randy, and Jon were brought in during October 2020 as part of a management refresh while Aaron and Brad were existing members of the company. The new management team revitalized the company, which ultimately sold to Earthstone Energy (now Permian Resources) in February 2022 for \$604 million, representing a significant value uplift from when they took over operations.
- EnCap has seen Ridge Runner’s technical and commercial skills first-hand as they assisted in a full review of a Permian-based portfolio company’s historical operations and go-forward development plans, creating additional confidence in the team’s skillset.
- Ridge Runner has closed on a handful of small acreage deals with numerous others identified or under LOI. These assets are in various stages of their life cycle but represent an opportunity to acquire high-quality inventory in an emerging part of the Delaware Basin. Management will be opportunistic as it relates to deals outside of their initial focus area as the team has a diverse background of evaluation and operations throughout the Lower 48.